

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 25-29

**MAC Industries Inc. d/b/a MAC Container Line,
Complainant,**

v.

**COSCO Shipping Lines Co. Ltd.,
COSCO Shipping Lines (North America) Inc., and
COSCO Shipping Lines (India) Private,**

Respondents.

**VERIFIED ANSWER OF COSCO SHIPPING LINES CO. LTD. AND
COSCO SHIPPING LINES (NORTH AMERICA) INC.**

Respondents COSCO Shipping Lines Co. Ltd. (“COSCO”) and Respondent COSCO Shipping Lines (North America), Inc. (“COSCO NA”) (collectively referred to as “Respondents”)¹, by their undersigned attorneys, file this Verified Answer to the Complaint in the above-captioned proceeding (“Complainant”) and responds as follows.

RESPONSES TO NUMBERED PARAGRAPHS

1. Complainant MAC Industries Inc. DBA MAC Container Line (“MAC”) by its undersigned attorneys, files this Verified Amended Complaint (pursuant to the procedural provisions of 46 U.S.C. § 41301, § 41305 and 46 C.F.R. § 502.62 et seq.; and Dkt 16, Order on Mot. to Dismiss 25-29) against Respondents COSCO Shipping Lines Co., Ltd. (“COSCO”),

¹ Complainant has also named COSCO Shipping Lines (India) Private (“CIN”) as a Respondent. CIN will answer or otherwise respond separately.

COSCO Shipping Lines (North America) Inc. (“CNA”), COSCO Shipping Lines (INDIA) Private (“CIN”) (together “COSCO Respondents”) requesting waiver of demurrage and detention invoice for \$157,067.59 and reparations for the following lost profits (together with interest from the dates of injury, and “additional amounts” as the Commission may direct, pursuant to 46 U.S.C. §41305):

- a. For threat of cancellation to service contracts;
- b. For cancelling bookings;
- c. For cancelling commercial terms and failure to reinstate commercial terms;
- d. For lost profits on lost shipments and the lost profits for having to switch to another carrier;
and
- e. Unlawful imposition of detention charges,

all in violation of the Shipping Act, 46 U.S.C. § 41102(c); 46 U.S.C. § 41104(a)(2)(A); 46 U.S.C. § 41104(a)(4)(C), (E); 46 U.S.C. § 41104(a)(9); 46 U.S.C. § 41104(a)(10); 46 U.S.C. § 41104(a)(14) and (15) and 46 C.F.R. § 545.5; 46 U.S.C. § 41102(b)(2); 46 U.S.C. § 41102(d). Complainants likewise seek appropriate cease-and-desist orders from the Commission with respect to ongoing violations by Respondents.

ANSWER: Respondents lack information sufficient to admit or deny the allegations in Paragraph 1 with respect to why MAC filed either the Original or the Amended Complaints. Respondents deny any violation of the Shipping Act or that MAC incurred injuries as a result of Respondents’ action or inaction.

I. COMPLAINANTS

2. MAC Industries Inc. DBA Mac Container Line (“MAC”) is a California S Corporation licensed as an FMC Non-Vessel-Operating Common Carrier (“NVOCC”) (License Number 022081) headquartered at 971 Calle Negocio #100A, San Clemente, CA 92673.

ANSWER: Respondents lack information sufficient to admit or deny the allegations of Paragraph 2.

II. RESPONDENTS

3. Respondent COSCO is a global ocean carrier (organized under 46 C.F.R. § 520.3 as organization number 015614) with its corporate office at 378 Dong Da Ming Road, Shanghai 200080, China, conducting business in the United States through its general agent, a company existing under the laws of the State of Delaware, Respondent CNA, with its principal corporate office at 100 Lighting Way, Secaucus, NJ 07094, and conducting business in India through its agent Respondent CIN, with its principal corporate office at Unit 102, B Wing, 8th Floor, Godrej Two, Pirojsha Nagar, Eastern Express Highway, Vikhroli (E), Mumbai, 400079.

ANSWER: Respondents admit the allegations of Paragraph 3 that Respondent COSCO (but not Respondent CNA) is a vessel-operating ocean common carrier within the meaning of the Shipping Act and FMC regulations, that COSCO has a corporate headquarters at the address listed and that CNA has an office at the listed address. Respondent otherwise denies the remaining allegations in Paragraph 3.

4. COSCO is a “controlled carrier” of the People’s Republic of China as that term is defined by 46 U.S.C. § 40102(9).

ANSWER: Respondent COSCO admits that it is a “controlled carrier” as defined by the Shipping Act.

5. The COSCO Respondents (collectively) are a vessel operating “ocean common carrier” as that term is defined by 46 U.S.C. § 40102(7) and (18) and are subject to regulation by the FMC.

ANSWER: Respondents deny the allegations of Paragraph 5, except admit that Respondent COSCO (but not Respondent CNA) is an ocean common carrier, subject to regulation by the FMC.

III. JURISDICTION

6. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act of 1984, as amended, 46 U.S.C. § 40101 et seq.

ANSWER: Respondents deny the allegations of Paragraph 6.

7. This Complaint is timely pursuant to 46 C.F.R. § 502.62(a)(4) and § 502.302(a) because it is being brought within three years from the time of the alleged Shipping Act violations and/or retaliation and discrimination from COSCO Respondents, and thus within three years of the accrual of the claims asserted.

ANSWER: Respondents lack information sufficient to admit or deny the allegations of Paragraph 7.

8. This Complaint is being filed pursuant to Section 11(a) of the Shipping Act, 46 U.S.C. § 41301. Complainants are seeking a cease-and-desist order and/or reparations for injuries caused to it by Respondents due to the violations of the Shipping Act.

ANSWER: Respondents lack information sufficient to admit or deny the allegations of Paragraph 8.

9. The FMC has personal jurisdiction over COSCO as the “common carrier” and a vessel operating “ocean common carrier,” as defined in 46 U.S.C. § 40102(7) and (18), with respect to the Shipping Act violations alleged in this Complaint; and likewise against CNA and

CIN as the general agents of COSCO² (and thus jurisdiction lies against both COSCO Respondents collectively in their capacity as “common carrier” and “ocean common carrier”).

ANSWER: Respondents admit that the FMC has personal jurisdiction over COSCO as the common carrier. Denied that the FMC can properly exercise jurisdiction over CNA or CIN.

10. The COSCO Respondents’ actions alleged herein constitute failures to establish, observe, and enforce just and reasonable practices related to receiving, handling, storing, and delivering the property of MAC, in violation of 46 U.S.C. § 41102(c) (unreasonable practices); retaliation and discrimination in violation of the Shipping Act when COSCO Respondent’s threatened to cancel and did cancel the service contract with MAC and changed the commercial terms because MAC disputed a demurrage and detention (“D&D”) invoice in violation of 46 U.S.C. § 41102(b)(2) (operating contrary to an agreement); 46 U.S.C. § 41102(d) (retaliating against a shipper by refusing, or threatening to refuse, an otherwise-available cargo space accommodation” or resorting to unfair or unjustly discriminatory action for any reason); 46 U.S.C. § 41104(a)(2)(A) (failure to provide service in accordance with service contract); 46 U.S.C. § 41104(a)(3) (unreasonable refusal of cargo space and other unfair or unjustly discriminatory methods) 46 U.S.C. § 41104(a)(4)(C), (E) (engaging in unfair or unjustly discriminatory practice of cargo space accommodations or adjustment and settlement of claims); 46 U.S.C. § 41104(a)(9) (provide undue or unreasonable prejudice or disadvantage); 46 U.S.C. § 41104(a)(10) (unreasonably refuse to deal or negotiate); and an unreasonable practice of charging D&D that does not incentivize freight fluidity under 46 U.S.C. § 41104(a)(14) and (15) and 46 C.F.R. § 545.5

² The Commission has found that an agent for a VOCC can be subjected to FMC jurisdiction if it is named as a respondent in an FMC proceeding along with its principal VOCC. *TCW, Inc. v. Evergreen Shipping Agency (AM.) Corp.*, Dkt. No. 1966(I), 2022 WL 18068977 at *1 (FMC Dec. 29, 2022).

(improperly imposing D&D charges in violation of the incentive principle and/or otherwise on unjust and unreasonable grounds).

ANSWER: The allegations of Paragraph 10 are conclusions of law, to which no answer is required. To the extent that an answer is required, Respondents deny the allegations of Paragraph 10 and state that there is no such entity as the COSCO Respondents.

IV. FACTUAL BACKGROUND

A. History of MAC-COSCO Relationship

11. On June 5, 2020, MAC filed a complaint against COSCO alleging unreasonable refusal of cargo space accommodations and unfair/unjustly discriminatory methods in violation of 46 U.S.C. § 41104(a)(3) causing damages of \$1,000,000. The parties settled and the settlement was approved on July 9, 2020.

ANSWER: Admitted.

12. For many years, MAC had “waybill terms” with COSCO, in which COSCO issued online bills of lading to MAC that MAC printed in-house before the bills of lading were paid. Pursuant to these terms, MAC had 15-day payment terms and efficient release of cargo.

ANSWER: Respondents lack information sufficient to admit or deny without a specific time frame.

13. Since 2016, MAC and COSCO have maintained service contracts, as that term is used in 46 U.S.C. § 40102(21). MAC and COSCO held service contract number CHN25204 (Amendment 55) for 400 TEUs from October 1, 2024 to September 30, 2025; and SAC25205 (Amendment 32) for 100 TEUs from December 1, 2024 to November 30, 2025.

ANSWER: Admitted.

B. Encouragement for MAC to Expand Export Volume with COSCO in 2026

14. From August 2025 to September 2025, CNA had actively pursued MAC to expand its export volumes as part of a new internal initiative.

ANSWER: Denied.

15. On September 19, 2025, MAC met with COSCO personnel, including Mark Sibincic, a CNA Account Executive (Midwest Sales), Renata Roppo (Regional Sales Director – North Central), Hanson Chau (District Sales Manager – Export), on a Teams call.

ANSWER: Admittd.

16. CNA expressly stated that it was conducting a major export push and was calling Shanghai ports weekly with U.S. export growth.

ANSWER: Denied.

17. CNA stated that MAC was identified as a key export partner that COSCO wanted to support with increased MQC. CNA requested that MAC increase its MQC from 400 TEU to 1,000 TEU and possibly to 2,500 TEU. September 19 Teams Call Notes, attached as **Exhibit 1**.

ANSWER: Denied that MAC was identified as a “key export partner.” Denied that Exhibit 1 reflects what Paragraph 17 alleges.³ Admitted that CNA suggested that MAC increase its MQC.

18. Based on COSCO’s representations regarding offers of increased capacity, MAC executed service contract CHN26204 (Amendment 11), effective October 1, 2025 to September 30, 2026, with MQC increased to 1,000 TEU. CHN26204 Contract, attached as **Exhibit 2**.

³ As a general matter, Respondents are unable to reasonably address Complainant’s Exhibits, as citations in the Complaint are to unindexed, whole exhibits consisting of agglomerations of documents, without reference to specific page numbers. Accordingly, except as otherwise stated, Respondents can neither admit nor deny information set forth in exhibits.

ANSWER: Admitted that both parties executed Amendment 11 to CHN26204. Respondents deny that MAC justifiably relied on any representations by COSCO.

19. MAC materially relied on COSCO's representations and began shifting volumes to COSCO and quoting rates for shipments with COSCO to MAC's customers.

ANSWER: Denied that COSCO made any representations upon which MAC could have reasonably relied. Otherwise, Respondents lack information sufficient to admit or deny.

20. Following COSCO's retaliation and discrimination under the Shipping Act (as detailed below in relation to MAC's refusal to pay improper detention charges), COSCO amended the following agreements to reduce MAC's TEU volumes as follows:

- a. CHN26204 (Amendment 12) to 126 TEUs (a decrease from 1,000 TEUs) from October 1, 2025 to December 7, 2025 and
- b. SAC25205 (Amendment 33) for 34 TEUs (a decrease from 100 TEUs) from December 1, 2024 to November 30, 2025.

ANSWER: Denied that COSCO engaged in retaliation or discrimination under the Shipping Act. Denied that COSCO amended any agreements.

C. COSCO's Improper D&D Charges

21. On or about October 26, 2024, MAC shipped cargo with COSCO under bill of lading number 6393029830 (attached as Exhibit 3) from Seattle. It arrived in Nhava Sheva on January 11, 2025 under IGM 2396782 / Item 314.

ANSWER: Admitted.

22. On January 27, 2025, the original bill of lading was released by COSCO and the consignee paid the destination charges to COSCO. (Receipt BOM583701, attached as **Exhibit 4**, Detention Receipt BOM583738, attached as **Exhibit 5**.)

ANSWER: Admitted.

23. In exchange for the release of the original bill of lading, the delivery order (“**DO**”) was issued on January 27, 2025, attached as **Exhibit 6**; see consignee email confirming same, attached as **Exhibit 7**.

ANSWER: Admitted that the DO was issued on the date stated.

24. On or about January 27, 2025, the cargo was placed under the custody of the Indian Directorate of Revenue Intelligence (“DRI”) for suspected import irregularities.

ANSWER: Respondents lack information sufficient to admit or deny.

25. While under government hold, the cargo entered the statutory process of confiscation and eventual auction under Section 150 of the Indian Customs Act. See Auction Documentation, attached as **Exhibit 8**.

ANSWER: Admitted.

26. On January 27, 2025, CIN issued an Empty Off-Loading Letter, attached as **Exhibit 9**, that demonstrates COSCO Respondents unilaterally removed the containers from merchant’s control, by devanning the containers.

ANSWER: Denied. Further, there is no such entity as the COSCO Respondents.

27. COSCO Respondents charged D&D, even though the containers had been devanned, the cargo was under government control, and COSCO had internally taken custody of the empty equipment, all in violation of the incentive principle pursuant to the Commission’s regulations at 46 C.F.R. § 545.5.

ANSWER: Denied.

28. On April 3, 2025, CIN confirmed in writing that the DO was issued. This was later retracted as a typographical error. Compare **Exhibit 10** (confirming DO) with **Exhibit 11** (retracting as a typo on October 31, 2025).

ANSWER: Admitted.

29. On October 4, 2025, the subject cargo was listed in an Indian customs auction.

Exhibit 8.

ANSWER: Admitted.

30. Following the payment from the auction buyer, the proceeds of the payment should have applied in this order: First to the duties owed, then to penalties, then freight and carrier charges, and then the balance to the government. In late October and early November 2025, MAC requested proof of the proceeds satisfying the outstanding amounts owed. COSCO refused to provide proof of the Section 150 allocation. **Exhibit 11.**

ANSWER: Denied that COSCO had any such obligation or “proof” to provide to MAC. Otherwise, Respondents lack information sufficient to admit or deny.

31. Despite this, on October 24, 2025, CNA invoiced MAC \$157,067.59 in D&D charges for an unknown period. D&D Invoice #2087591235, attached as **Exhibit 12.**

ANSWER: Admitted that COSCO NA invoiced some charges but denies that these were D&D charges for purposes of the Shipping Act. Denied that these charges were “for an unknown period,” as the invoice itself clearly identifies the time period as January 25 through July 25, 2025.

32. On or about October 28 to October 30, 2025, MAC first identified COSCO’s contradictions regarding the improper D&D charges, specifically that COSCO had changed its position from the DO being “exchanged” to “not received.” Email, attached as **Exhibit 11.**

ANSWER: Admitted that COSCO changed its position regarding the release of the DO. Otherwise, denied.

33. On October 28, 2025, MAC disputed the D&D invoice in an email to Mark Sibincic because the cargo was unavailable due to a government hold, the container was off-loaded, and the D&D charge was improper under the rules tariff. D&D Dispute. **Exhibit 11.**

ANSWER: Admitted that MAC sent an email disputing the detention invoice on October 28, 2025. Denied that the contents of the email were correct.

34. Further, from November 4 to November 6, 2025, COSCO repeatedly denied issuance of the DO, despite proof that the DO had duly been issued; and instead wrongfully continued to assert that the D&D invoice #2087591235 was due. **Exhibit 11.**

ANSWER: Denied.

35. COSCO Tariff 203, Rule 28 defines “DELIVERY ORDER” as “a document issued by the Carrier or its agent authorizing the terminal operator to release all or a portion of a shipment to a Consignee or its agent.”

ANSWER: Admitted.

36. This issuance would be impossible without a bill of lading release. Thus, COSCO was either unreasonably denying that the DO had been issued or operating in violation of the rules tariff because the DO was issued. **Exhibit 6.**

ANSWER: Denied.

D. The D&D Charge Violated the Shipping Act

37. D&D invoice #2087591235 fails to comply with the COSCO rules tariff.

ANSWER: Denied.

38. Pursuant to COSCO Tariff 230, Rule 021-B “DEFINITIONS OF FREE TIME, DEMURRAGE, DETENTION,” D&D was improperly charged because D&D can only be charged when the container is held on dock or Carrier’s nominated facility:

DEMURRAGE & DETENTION COMBINED (DND): AT DESTINATION: Demurrage and Detention are combined. DND charges are those costs, incurred when container is held on dock at destination port CY or Carrier's nominated facility, and/or is held off dock at destination door beyond the permitted cargo free time as stipulated in rules of this tariff.

but here, the cargo was on an Indian government hold and not held on dock or Carrier's nominated facility.

ANSWER: Denied that Detention and Demurrage rules did not apply.

E. COSCO Retaliated Against MAC

39. On November 7, 2025, COSCO declared "cooperation suspended" pending payment of the disputed and improperly issued D&D invoice. **Exhibit 11.**

ANSWER: Denied.

40. On that same date November 7, 2025, Mark Sibincic advised that SAC25205 would not be renewed and would be expiring on November 30, 2025. He also advised that Agreement CHN26204 would have its MQC reduced and would expire on December 7, 2025 (instead of September 30, 2026 as outlined in CHN26204). **Exhibit 11.**

ANSWER: Denied, The email itself provides the best evidence of what it said and it has been mischaracterized.

41. On November 7, 2025, Mr. Sibincic also advised that COSCO was prohibiting MAC from making any new bookings. **Exhibit 11.**

ANSWER: Denied. In the email in question, Mr. Sibincic asked that MAC "please refrain from making new bookings with Cosco *until the matter is resolved.*"

42. On November 10, 2025, MAC sent its first formal notice to COSCO Legal, Tim Marsh, and James Houghtalin, detailing violations of 46 U.S.C. §§ 41102(c) and 41104(a)(10). **Exhibit 13.**

ANSWER: Admitted that MAC sent an email on that date, the content and claims of which are denied in substance.

43. From November 11 to November 12, 2025 COSCO Trade via Ms. Yi Qing directed MQC reduction, contract cancellation, and demanded that MAC cancel active bookings. **Exhibit 13.**

ANSWER: Denied.

44. The consignee confirmed that the original bill of lading was released in exchange for issuance of the DO, contradicting COSCO's claim that no original bill of lading was provided. Attached as **Exhibit 7.**

ANSWER: Denied.

45. On November 12, 2025, COSCO requested that MAC approve cancellation of the Master Service Agreement CHN26204 that was effective October 1, 2025, ending September 30, 2026, that COSCO wanted to cancel effective December 7, 2025. **Exhibit 11.**

ANSWER: Admitted that Mr. Sibincic sent MAC proposed amendments to the service contract and asked if they were okay to file. Admitted that, if MAC agreed to the amendments the service contract would have expired on December 7, 2025. Denied that there was any cancellation involved or that the service contract was ever canceled.

46. On December 11, 2025, COSCO removed MAC from their longstanding credit arrangement of "waybill terms." Emails, attached as **Exhibit 14.**

ANSWER: Admitted that SWB was suspended on that date, otherwise denied.

47. On December 11, 2025, COSCO notified MAC that the attempted amendment to Service Contract CHN26204 was "cancelled" and that the contract term was being "returned" to its original expiration date of September 30, 2026. **Exhibit 14.**

ANSWER: Admitted that the proposed amendment was canceled, so that the contract term remained September 30, 2026.

48. However, COSCO failed to restore the “waybill terms,” instead citing unspecified “longstanding issues” without factual or contractual support; failed to reinstate Service Contract SAC25205, which expired on November 30, 2025; and failed to offer a renewal for Service Contract SAC25205.

ANSWER: Denied.

49. COSCO failed to waive or otherwise attempt to reasonably resolve the unlawful D&D invoice that precipitated the dispute, and instead engaged in unjust and unreasonable retaliatory conduct, refusal to deal, and refusal to honor previously agreed terms.

ANSWER: Denied.

F. MAC Suffered Damages from COSCO’s retaliation and discrimination

50. Because of COSCO’s retaliation and discrimination, MAC had to divert business to alternative carriers at reduced margins, lost business, and had to cancel active bookings.

ANSWER: Denied.

51. MAC was forced to cancel the following 15 bookings for Go Hawk that had been accepted at \$450 lost margin per container for a total of \$27,450:

Booking Number	Port of Loading to Port of Discharge	Containers	Lost Margin
6432249170	OAK to PKG	3x40HC	\$1,350
6433062380	OAK to PKG	3x40HC	\$1,350
6433938390	OAK to PKG	3x40HC	\$1,350
6434671140	OAK to PKG	3x40HC	\$1,350
6434671180	OAK to PKG	3x40HC	\$1,350
6435303920	OAK to PKG	3x40HC	\$1,350
6435305480	OAK to PKG	3x40HC	\$1,350
6433062360	LAX to PKG	5x40HC	\$2,250
6433938420	LAX to PKG	5x40HC	\$2,250
6434671360	LAX to PKG	5x40HC	\$2,250
6434671610	LAX to PKG	5x40HC	\$2,250
6435305530	LAX to PKG	5x40HC	\$2,250
6435304330	LAX to PKG	5x40HC	\$2,250
6435304310	LAX to PKG	5x40HC	\$2,250
6435304300	LAX to PKG	5x40HC	\$2,250
		Total	\$27,450

ANSWER: Respondents lack information sufficient to admit or deny.

52. MAC was forced to cancel the following bookings for Supreme/Gemini for a loss of \$29,130:

Booking no.	From	To	Containers	Loss per container	Total Loss
6432289770	OAKLAND	PORT KLANG	5X40HC	\$435	\$2175
6433786860	OAKLAND	PORT KLANG	5X40HC	\$435	\$2175
6433786250	OAKLAND	PORT KLANG	5X40HC	\$435	\$2175

6433786840	OAKLAND	PORT KLANG	5X40HC	\$435	\$2175
6432289740	OAKLAND	PORT KLANG	5X40HC	\$435	\$2175
6433786810	OAKLAND	PORT KLANG	5X40HC	\$435	\$2175
6433786770	OAKLAND	PORT KLANG	5X40HC	\$435	\$2175
6434342690	LA	PORT KLANG	5x40HC	\$435	\$2175
6434206500	LA	PORT KLANG	5x40HC	\$510	\$2550
6434206420	LA	PORT KLANG	5x40HC	\$510	\$2550
6434206290	LA	PORT KLANG	2x40HC	\$510	\$2550
6434206450	LA	PORT KLANG	5x40HC	\$510	\$2550
6434212390	LA	PORT KLANG	2x40HC	\$510	\$2550
6429662740	LA	PORT KLANG	2x40HC	\$510	\$2550
6434206270	LA	PORT KLANG	2x40HC	\$510	\$2550
				Total	\$29,130

ANSWER: Respondents lack information sufficient to admit or deny.

53. Booking 6435164990 was also canceled by COSCO for the Kansas City to Busan customer for a loss of \$1,400.

ANSWER: Respondents lack information sufficient to admit or deny.

54. MAC sustained losses due to COSCO's retaliation for MAC customer Gohawk:
- Between September 24 and September 26, 2025, MAC booked 28 containers for export from the U.S. from October 11, 2025 to November 16, 2025 with COSCO for an average profit of \$367.13 per container. This is a rate of 5 to 6 containers per week.
 - Following the retaliation by COSCO, MAC booked 122 containers from November 12, 2025 to March 16, 2026 for export from the U.S. from January 18, 2026 to May 31, 2026 with carriers other than COSCO for an average profit of \$115.39 per container. This is a rate of 6 to 7 containers per week.
 - The difference in profit from using COSCO to using other carriers is \$251.74 per container for 6 containers per week is \$1,510.44 in losses per week.
 - Additionally, a review of Datamyne exports from the U.S. to Malaysia shows that COSCO has shipped 46 containers (at the same pace of 6.7 containers per week) directly with Gohawk since November 2025, at the exact time that COSCO retaliated against MAC.

- e. The lost profit on these 46 containers demonstrates the damages sustained by MAC due to COSCO's actions. It also demonstrates the financial incentive that COSCO has to retaliate and discriminate against MAC.

ANSWER: Denied.

55. MAC sustained losses due to COSCO's retaliation for MAC customer Supreme/Gemini:

- a. From October 1, 2024 to September 30, 2025, MAC booked 59 containers for export from the U.S. From October 1, 2025 to November 5, 2025, when COSCO retaliated, MAC booked 51 containers with COSCO and continued booking 25 containers with other carriers after the retaliation.
- b. For October 1, 2024 to September 30, 2025, this was an average of 2.5 containers per week.
- c. For October 1, 2025 to April 9, 2026, including MAC's switch to other carriers, this was an average of 3.02 containers per week.
- d. Following the retaliation by COSCO, MAC's profits per container decreased from \$466.07 per container to \$163.75 per container (for a loss of \$302.32 per container), comparing the periods from October 1, 2025 to the retaliation, to the period after November 5, 2025 to April 9, 2026.
- e. The difference in profit from using COSCO to using other carriers is \$302.32 per container for 3.02 containers per week is \$913.01 in losses per week.
- f. Shipper refused to use OOCL and Maersk due to operational issues, **Exhibit 15**.

ANSWER: Denied.

56. Because of COSCO's retaliation and discrimination, MAC lost reefer business for frozen meat products from Kansas City to Busan:

- a. MAC booked the following bookings with COSCO in October 2025 for November 2025: 6434507170, 6435715730, 6434778750, 6435164990, 6435715660.
- b. In November, when COSCO requested the 11-month-early cancellation of contract CHN26204 for December 7, 2025, MAC was forced to rebook the business so that the customer's frozen meat products could move.
- c. MAC rebooked the COSCO rates of \$5,700/40 RF with CMA CGM for an average of \$7,534.28/40 RF or with Hapag Lloyd for an average of \$5,056.32/40 RF.
- d. The volume for this customer was 50 to 60 containers per year.

- e. Hapag Lloyd had equipment issues and could not be utilized.
- f. MAC lost this business because of the increase in price to use CMA CGM, and the retaliation from COSCO for a total of \$1,834.28 per container, with 1.06 containers per week, for a loss of \$1,940.10 per week.
- g. MAC quoted the business again in April 2026, (email attached as Exhibit 16) and during a phone call follow up, the quote from MAC was too high and the shipper went with another NVOCC who is using COSCO rates.

ANSWER: Denied.

57. MAC lost dairy exports from the U.S. to Denmark for Innovate Dairy.

- a. From April to August of 2025, MAC moved 22 containers for Innovate Dairy Inc. from the U.S. to Denmark with COSCO at a pace of 1.45 containers per week.
- b. MAC received an average profit of \$1,970.52 per container.
- c. On OOCL and Hapag Lloyd, MAC's average profit was \$1,143.34 per container.
- d. The loss that MAC sustained due to COSCO's actions is \$827.17 per container at a rate of 1.45 containers per week, equaling \$1,199.39 per week.

ANSWER: Denied.

V. Shipping Act Violations

58. Section 41102(c) of the Shipping Act (46 U.S.C. § 41102(c)) prohibits a common carrier from failing to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

ANSWER: Admitted that the snippet of text from the Shipping Act is accurate. Denied that COSCO in any way violated this provision.

59. Section 41104(a)(2) of the Shipping Act (46 U.S.C. § 41104(a)(2)(A)) prohibits a common carrier from "provid[ing] service in the liner trade that is . . . not in accordance with . . . a service contract entered into under chapter 405 of this title."

ANSWER: Admitted that the snippet of text from the Shipping Act is accurate. Denied that COSCO in any way violated this provision.

60. Section 41104(a)(4)(C), (E) of the Shipping Act (46 U.S.C. § 41104(a)(4)(C), (E)) prohibits a common carrier “for service pursuant to a tariff [from] engag[ing] in any unfair or unjustly discriminatory practice in the matter of (C) cargo space accommodations . . . or (E) adjustment and settlement of claims.”

ANSWER: Admitted that the snippet of text from the Shipping Act is accurate. Denied that COSCO in any way violated this provision.

61. Section 41104(a)(8) of the Shipping Act (46 U.S.C. § 41104(a)(9)) prohibits an ocean carrier from “giv[ing] any undue or unreasonable prejudice or disadvantage.”

ANSWER: Admitted that the snippet of text from the Shipping Act is accurate. Denied that COSCO in any way violated this provision.

62. Section 41104(a)(10) of the Shipping Act (46 U.S.C. § 41104(a)(10)) prohibits an ocean carrier from “unreasonably refus[ing] to deal or negotiate.”

ANSWER: Admitted that the snippet of text from the Shipping Act is accurate. Denied that COSCO in any way violated this provision.

63. Section 41104(a)(14) of the Shipping Act (46 U.S.C. § 41104(a)(14)) prohibits an ocean carrier from “assess[ing] any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations)”; and Section 41104(a)(15) of the

Shipping Act (46 U.S.C. §41104(a)(15)) prohibits an ocean carrier from “invoic[ing] any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with (A) all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations); and (B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled ‘Interpretive Rule on Demurrage and Detention Under the Shipping Act’ (or successor rule).”

ANSWER: Admitted that the snippet of text from the Shipping Act is accurate. Denied that COSCO in any way violated this provision.

64. Section 41102(b)(2) of the Shipping Act (46 U.S.C. § 41102(b)(2)) prohibits an ocean carrier from “operati[ng]” contrary “to the terms of the agreement.”

ANSWER: Admitted that the snippet of text from the Shipping Act is accurate. Denied that COSCO in any way violated this provision.

65. Section 41102(d) of the Shipping Act (46 U.S.C. § 41102(d)) prohibits an ocean carrier from “retaliate[ing] against a shipper . . . by refusing, or threatening to refuse, an otherwise available cargo space accommodation” or “resort[ing] to unfair or unjustly discriminatory action for any . . . reason.”

ANSWER: Admitted that the snippet of text from the Shipping Act is accurate. Denied that COSCO in any way violated this provision.

66. The conduct of COSCO Respondents alleged herein at ¶¶1-65 (as applicable), relating to the actions and behavior following MAC’s dispute of the D&D charge are directly related to receiving, handling, storing, or delivering property; are occurring on a normal,

customary, and continuous basis insofar as such practices, actions, behaviors and charges were pursuant to a tariff and/or contract.

ANSWER: Denied. Again, there is no such entity as COSCO Respondents.

67. In particular, the conduct of COSCO Respondents with regard to retaliation, discriminatory practices, predatory service contract practices (including without limitation encouraging MAC to increase volumes, then failing to honor and attempting to change terms unilaterally, cancelling prior bookings, withdrawing favorable “waybill terms” access, and all other Shipping Act violative conduct alleged herein) constitutes a normal, customary and continuous practice insofar as it affected multiple shipments/bookings over the course of several months; and insofar as it involves similar conduct as alleged in MAC’s prior 2020 FMC Complaint against COSCO. Likewise, COSCO Respondents’ conduct regarding the improper D&D charges constitutes a normal, customary and continuous practice because (without limitation) the charges were improperly imposed pursuant to COSCO Respondents’ tariff terms⁴ and because they were imposed in connection with COSCO Respondents’ conduct with regard to automatically issuing,

⁴ See, e.g., *Simple Forwarding, Inc. v. China United Lines Ltd.*, Dkt. No. 2010(F) (ALJ Feb. 6, 2025) (notice not to review, March 11, 2025) (“the normal, customary and continuous” element was satisfied when the detention fees on a single container were imposed pursuant to a tariff); *Acme Freight Servs. Corp. v. Total Terminals Int’l*, Dkt. No. 22-07 (ALJ May 26, 2022); 2022 FMC LEXIS 216, *5 (complainant alleged that “the practices and regulations at issue ‘[were] occurring on a normal, customary, and continuous basis’ and that the charges were part of [respondent’s] tariff,” which was sufficient to state a claim under the Shipping Act §41102). See also *TPG Pressure, Inc. v. Omni Logistics LLC et al*, 2024 FMC LEXIS 651, No. 22-31 (ALJ Sept. 12, 2024) (initial decision) (concluding that “coercive collection practices were part of [respondent’s] written policies and procedures, which is sufficient to find that they were a practice occurring on a normal, customary, and continuous basis” and that evidence indicating that charges outside tariff parameters “were regularly imposed by Respondents . . . is sufficient to establish a practice.”).

then retracting, the DO for the containers, and later denying (incorrectly) that a DO had ever issued.⁵

ANSWER: Denied.

68. COSCO Respondent's conduct alleged herein at ¶¶1-65 (as applicable) wrongfully sought to impose undue and unreasonable prejudice or disadvantage with respect to MAC.

ANSWER: Denied.

69. COSCO Respondent's conduct alleged herein at ¶¶1-65 (as applicable) wrongfully imposed and sought to wrongfully invoice MAC for invalid D&D charges in violation of the Shipping Act (46 U.S.C. §§41102(a)(14)-(15)) and Commission regulations promulgated thereunder (46 C.F.R. § 545.5).

ANSWER: Denied.

70. COSCO Respondent's conduct alleged herein at ¶¶1-65 (as applicable) violated 46 U.S.C. § 41104(a)(2)(A) because COSCO Respondents failed to provide service in the liner trade that is in accordance with the service contracts entered into with MAC.

ANSWER: Denied.

71. When COSCO Respondents threatened to cancel and cancelled the MAC service contract, following MAC's dispute of the D&D charge, as alleged herein at ¶¶1-65 (as applicable),

⁵ See, e.g., *Access One Transport, Inc. v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-13 (ALJ, June 6, 2025) 2025 FMC LEXIS 431 (concluding that improper D&D charges constituted "normal, customary, and continuous basis" because respondent provided a "response that the detention charge could not be waived [which] is consistent with the charge being imposed automatically" and thus constituting a normal and customary practice).

COSCO Respondents violated 46 U.S.C. § 41104(a)(4)(C), (E) that prohibits a common carrier from providing “engag[ing] in any unfair or unjustly discriminatory practice in the matter of (C) cargo space accommodations . . . or (E) adjustment and settlement of claims.”

ANSWER: Denied.

72. When COSCO Respondents threatened to cancel and cancelled the MAC service contract, following MAC’s dispute of the D&D charge, as alleged herein at ¶¶1-65 (as applicable), COSCO Respondents violated 46 U.S.C. § 41104(a)(9); 46 U.S.C. § 41104(a)(10); 46 U.S.C. § 41102(b)(2); 46 U.S.C. § 41102(d) that prohibit an ocean carrier from “giv[ing] any undue or unreasonable prejudice or disadvantage,” from “unreasonably refus[ing] to deal or negotiate,” from “operati[ng]” contrary “to the terms of the agreement,” and from “retaliate[ing] against a shipper . . . by refusing, or threatening to refuse, an otherwise-available cargo space accommodation” or “resort[ing] to unfair or unjustly discriminatory action for any . . . reason.”

ANSWER: Denied.

VI. CAUSATION AND INJURY TO MAC

73. As a result of the COSCO Respondents’ violations of the Shipping Act, and FMC regulations promulgated thereunder, MAC has been injured and continues to incur ongoing injury with respect to:

- i. Unlawful D&D invoice in the amount of \$157,067.59;
- ii. Inability to use “waybill terms”;
- iii. Threat of cancellation of service contracts;
- iv. \$57,980 in lost profit due to canceled bookings;
- v. \$1,510.44 losses per week for MAC Customer Gohawk;

- vi. \$913.01 in losses per week for MAC Customer Supreme/Gemini;
- vii. \$1,940.10 in losses per week for MAC Customer shipping frozen meat products from Kansas City to Busan; and
- viii. \$1,199.39 in losses per week for MAC Customer Innovate Dairy,

Totaling at least \$851,574.05 in damages, plus interest.

ANSWER: Denied.

74. As a result of the COSCO Respondents' violations of the Shipping Act, and FMC regulations promulgated thereunder, MAC is therefore entitled to an order that COSCO Respondents cease and desist undue and unreasonable prejudicing and disadvantaging MAC; failing to provide service in accordance with the service contracts with MAC; unfairly and unjustly discriminating against MAC in cargo space accommodations and adjustment and settlement of claims against D&D charges; threatening to cancel and canceling MAC's service contracts with COSCO; unreasonably refusing to deal or negotiate with MAC; and retaliating against MAC.

ANSWER: Denied.

VII. REQUEST FOR AND DESIGNATION OF LOCATION OF HEARING

75. Pursuant to 46 C.F.R. § 502.62(a)(5), MAC requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol St., NW, Washington, D.C. 20573-0001.

ANSWER: Respondents disagree that a hearing is necessary.

AFFIRMATIVE DEFENSES

1. Complainant has failed to plead essential elements of a claim under 46 U.S.C. § 41102(c).
2. Complainant has failed to plead essential elements of a claim under 46 U.S.C. § 41104(a)(2)(A).
3. Complainant has failed to plead essential elements of a claim under 46 U.S.C. § 41104(a)(3).
4. Complainant has failed to plead essential elements of a claim under 46 U.S.C. § 41104(a)(4)(C) or (E).
5. Complainant has failed to plead essential elements of a claim under 46 U.S.C. § 41104(a)(9).
6. Complainant has failed to plead essential elements of a claim under 46 U.S.C. § 41104(a)(10).
7. Complainant has failed to plead essential elements of a claim under 46 U.S.C. § 41104(a)(14) and (15) and 46 C.F.R. Part 545.5.
8. Complainant has failed to plead essential elements of a claim under 46 U.S.C. § 41104(b)(2).
9. Complainant has failed to plead essential elements of a claim under 46 U.S.C. § 41102(d).
10. The Commission lacks personal and subject matter jurisdiction regarding CAN.
11. The Commission lacks subject matter jurisdiction over local charges applied in India for events that took place in India.
12. Complainant waived all of its claims due to its failure to use the procedures required by the FMC and maintained by COSCO for addressing disputes about detention, demurrage, storage, and per diem charges.

13. Because COSCO maintained procedures for disputing detention, demurrage, storage, and per diem charges and Complainant willfully declined to use them, COSCO's actions are per se reasonable.
14. Any harm experienced by Complainant was as a result of its own failures or inaction.
15. Complainant has failed to state a claim for which relief can be granted, including for reasons of vagueness.
16. Complainant has not suffered any actual injury or damage as a result of Respondent's alleged violations of the Shipping Act, which, if any, are denied.

PRAYER

Respondents pray that Complainant's claims be dismissed with prejudice and that Respondents be granted attorney's fees and all other relief to which it may be entitled.

Dated: August 13, 2026

Respectfully submitted,



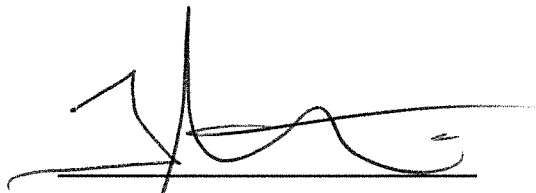
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(North America) Inc.*

VERIFICATION

I declare under penalty of perjury that the foregoing Answer is true and correct.

A handwritten signature in black ink, appearing to read 'J. Houghtalin', is written over a horizontal line.

James Houghtalin
Chief Risk Officer
COSCO Shipping Lines (North America) Inc.
100 Lighting Way
Secaucus, NJ 07094
jhoughta@cosco-usa.com

CERTIFICATE OF SERVICE

I hereby certify that on August 13, 2026, I served via email a copy of the foregoing *Respondents COSCO and COSCO NA's Verified Answer* on the following counsel of record for Complainant, in accordance with 46 C.F.R. § 502.114, and filed the original with the Secretary of the Commission.

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